Face value is the actual value of shares. Issue price refers to the price of a share including share premium. Premium is extra price a share claims in the market due to high demand for it. For example the face value of share may be ₹10 but due to high demand the share can be issued at say ₹700. Here the share premium is ₹690. The thing to be noted is the companies announce dividend only on face value. In this case, if a company says the dividend is 23 per cent it means 23 per cent of ₹10.

Short Selling

In short selling, the seller sells the securities without owning the securities. He borrows the securities and sells it.

Bull and Bear Trading

In bull trading, buyers buy more shares in the expectation that the securities price will rise in the future with a plan to sell at that time and earn profit.

In bear trading the sellers sell the securities, with the intention to avoid loss, in the expectation that the security prices will fall.

They are named after the animal sprit of bull and bear. The bull throws up the lives which it attacks and bear grounds the lives which it attacks. So rise (up) in price is associated with bull and fall (down) in price is associated with bear.

Securitisation

Securitisation is the method of converting existing assets into securities. Take the case of banks, their unrecovered loans are considered as Non- performing assets (NPA). These assets are sold to Asset Reconstruction Companies (ARCs). The asset reconstruction company divides the total assets into equal parts and sells to investors. The investors are entitled to flow of interest income from